

LIMURU TEA COMPANY LIMITED

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ANNOUNCEMENT OF UNAUDITED RESULTS FOR THE SIX MONTHS ENDED 30 JUNE 2011

The Board of Directors is pleased to announce the company's unaudited results for the six months ended 30 June 2011 as below

BALANCE SHEET			
	As At 30.06.11		As At 30.06.10
	Shs'000		Shs'000
CAPITAL EMPLOYED			
Share capital	24,000		24,000
Retained Earnings & reserves	92,772		46,106
Proposed dividends	-		-
Total equity	116,772		70,106
Non Current Liabilities			
Deferred income tax	13,577		1,641
Post employment benefit obligation	13,936		9,973
	27,513		11,614
Total equity and non current liabilities	144,285		81,720
REPRESENTED BY			
Non current assets			
Property, plant and equipment	2,951		2,622
Biological assets	66,198		16,356
	69,149		18,978
Current assets			
Receivables from parent company	81,763		77,524
Other receivables	-		28
Inventories	-		194
Cash at bank and in hand	9,554		11,869
	91,317		89,615
Current Liabilities			
Trade and other payables	8,447		16,643
Current income tax	7,734		10,230
Net current assets	75,136		62,742
	144,285		81,720

CASH FLOW STATEMENT			
	As at 30.06.11		As at 30.06.10
	Shs '000		Shs '000
Net cash from operating activities	12,460		11,344
Net cash used in investing activities	(140)		-
Net cash used in financing activities	(9000)		(9000)
Increase in cash and cash equivalents	3,320		2,344
Movement in cash and cash equivalents			
At start of year	6,234		9,525
Increase	3,320		2,344
At end of June	9,554		11,869

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PROFIT & LOSS ACCOUNT			
	Jan-Jun 2011 Shs '000		Jan-Jun 2010 Shs '000
Turnover	36,333		74,268
Profit/(loss) before income tax	9,292		33,158
Income tax (expense)/credit	(2,847)		(10,015)
Profit attributable to the shareholders	6,446		23,143
Issued shares of Kshs. 20 each	1,200,000		1,200,000
Earnings per share (Shs)	5.37		19.28
Total Dividends per share (Shs)	-		-

COMMENTARY

Performance

The company's tea production in the first half of 2011, at 237 tonnes, was 50% lower than the same period in 2010. This significant reduction in production was as a result of unfavourable rainfall in the first half of the year.

Tea prices improved by 6% compared to the 1st half of 2010 due to a weaker Kenya Shilling which more than offset the marginal reduction in US\$ prices. Total turnover at Kshs. 36.3 million was 51% below the same period in 2010. Gross Margin significantly reduced from 45% in 2010 to 21% in 2011.

For the first half of the year 2011, the Company's profit before tax was at Kshs. 9.3m compared to Kshs. 33.2m in 2010. Earnings per share reduced from Kshs. 19.28 to Kshs. 5.37 during the same period.

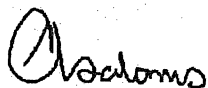
Dividend

The Directors do not recommend the payment of an interim dividend.

Prospects

The second half of the year has not started well in terms of crop volume due to poor rainfall. However, if the fourth quarter crop forecast is achieved and tea prices remain favourable, the Company's profitability should improve in the second half of the year.

By Order of the Board



Antoinette A. Absaloms

COMPANY SECRETARY

15 August 2011